

Business Law

Lecture 3

Contract Law I

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Contract Law I

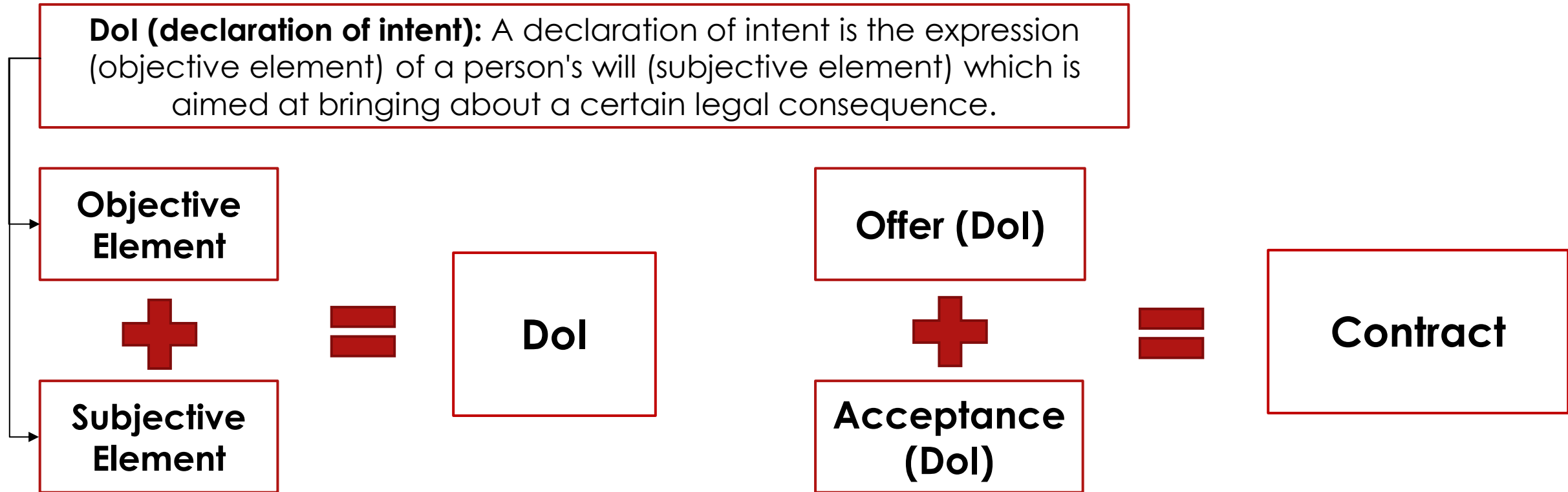
AGENDA

- CONTRACT CONCLUSION
- OFFER AND ACCEPTANCE
- PRIVATE AUTONOMY AND ITS LIMITS
- OVERVIEW ON CONTRACT TYPES

Contracts – Introduction

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- **Contract:** A contract is a legal transaction consisting of two matching **declarations of intent**, offer and acceptance



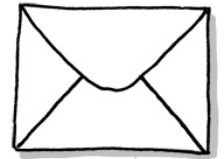
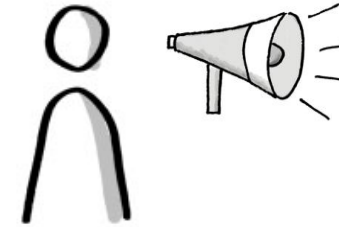
Contracts – DoI – Objective Element

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→ Intent which has been expressly declared to the outside world

- **Explicit statement**

- In writing, verbally

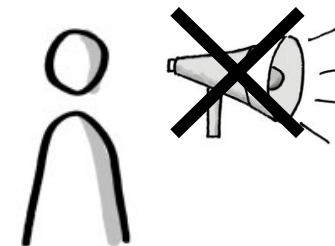


- **Implicit statement**

- Conclusive behaviour (nodding, handing over the purchase price etc.)

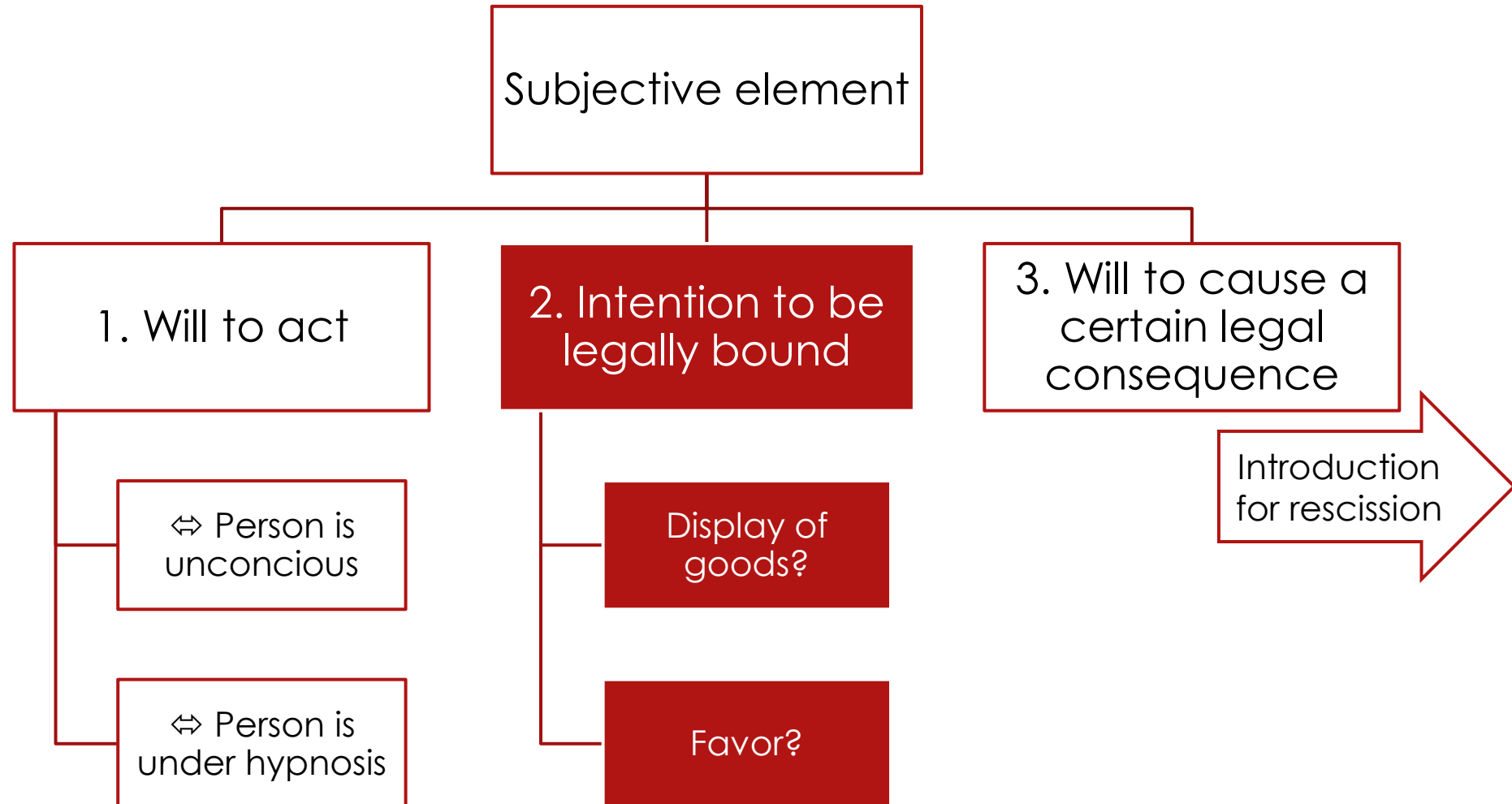
- **Silence?**

- Almost always irrelevant
- Exceptions in trade law:
 - ▶ Commercial letter of confirmation
 - ▶ § 362 HGB



Contracts – DoI – Subjective Element

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Contracts – Dol – Subjective Element

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2. Intention to be legally bound

- **Decisive:** How does an objective third party perceive the behavior of the person making the declaration? (Objective horizon of the recipient of the Dol)

- **Indications:**

- Nature of the business
- Reason and purpose
- Economic and legal significance
- Circumstances of the situation
- Due diligence of declaror



Contracts – DoI – Subjective Element

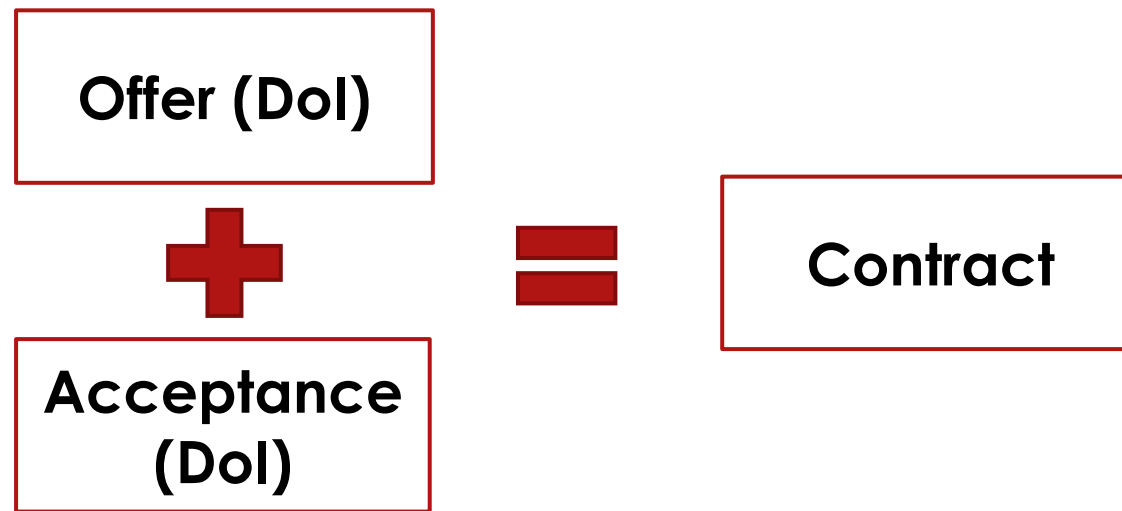
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2. Intention to be legally bound

- **P: Invitatio ad offerendum** ≠ offer
 - Missing intention to be legally bound
 - Invitation to others to make an offer
 - Differentiation by interpretation acc. to §§ 133, 157 BGB
 - Helpful: Thinking in consequences



- **Contract:** A contract is a legal transaction consisting of two matching declarations of intent, **offer** and acceptance



- **Offer:** Dol by which the conclusion of the contract is requested to another party in such a way that the conclusion of the contract only depends on the consent of the recipient

Contracts – Offer

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- Offer must contain **essentialia negotii**
 - **Vital elements** of the contract
 - Regarding purchase agreements (different for other types)
 - Contractual parties
 - Good
 - Price (usually)
- Otherwise: no valid offer

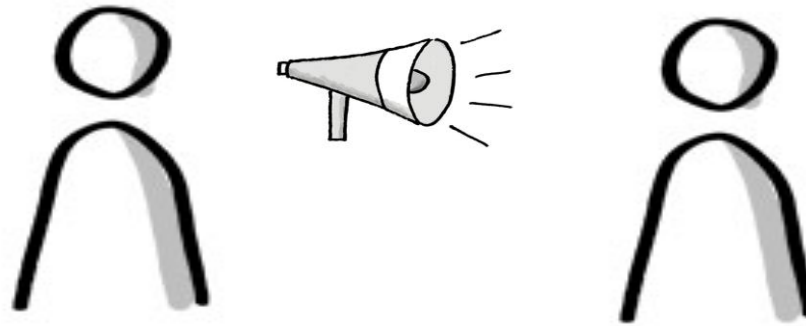


Contracts – Offer

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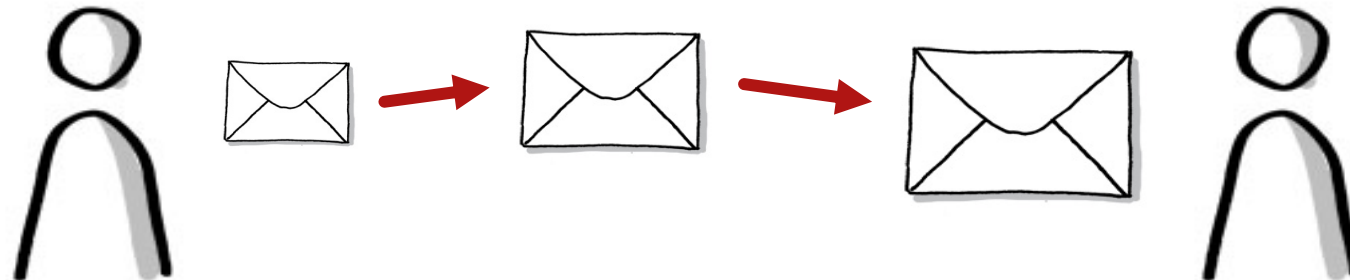
Effective DoI = Issuing + Reception

Offer to someone
who is present



simultaneously

Offer to someone
who is not present



successively

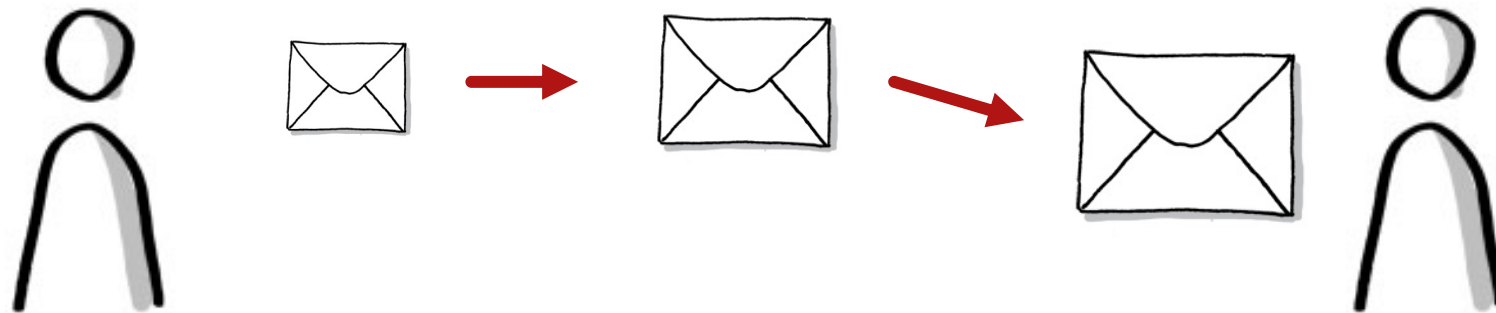
Issuing a Dol	Reception of Dol
A valid Dol has to be issued. <u>Oral declaration:</u> Speaking the words audibly <u>Written declaration:</u> Present: handing over of the message (e.g. resignation) Among absent: e.g. sending a letter/email	A Dol regularly needs reception for its effectiveness (exceptions: last will, offer of a reward) Reception: Dol enters the recipient's sphere of influence in such a way that under normal circumstances, the recipient has the possibility to take note of the content of the declaration Actual acknowledgement not required → Reception regularly prior to actual knowledge

Contracts – Offer

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Case: B deposits a written offer to conclude a purchase agreement in the letterbox of S. It is Saturday evening, the shop of S is only open from Monday to Friday. S is very busy and only reads the offer on Tuesday.

When was the offer received?



§ 145 BGB - Binding effect of an offer

Any person who offers to another to enter into a contract is bound by the offer, unless he has excluded being bound by it.

§ 146 BGB - Expiry of an offer

An offer expires if a refusal is made to the offeror, or if no acceptance is made to this person in good time in accordance with §§ 147 to 149.

- Offer is **legally binding** (§ 145 BGB) until
 - it is refused or
 - no acceptance (cannot be expected any more) (§ 146 BGB icw. §§ 147 – 149 BGB)

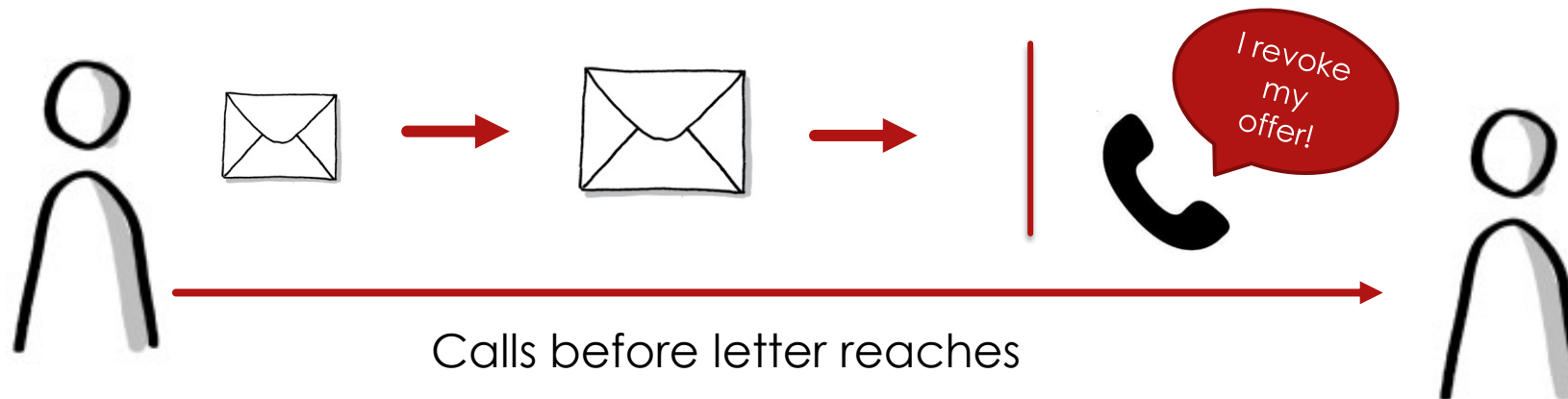
- **Binding effect** can be **limited**

§ 148 - Fixing a period for acceptance

If the offeror has determined a period of time for the acceptance of an offer, the acceptance may only take place within this period.

§ 130 - Effectiveness of a declaration of intent to absent parties

(1) A declaration of intent that is to be made to another becomes effective, if made in his absence, at the point of time when this declaration reaches him. It does not become effective if a revocation reaches the other previously or at the same time.



Contracts – Acceptance

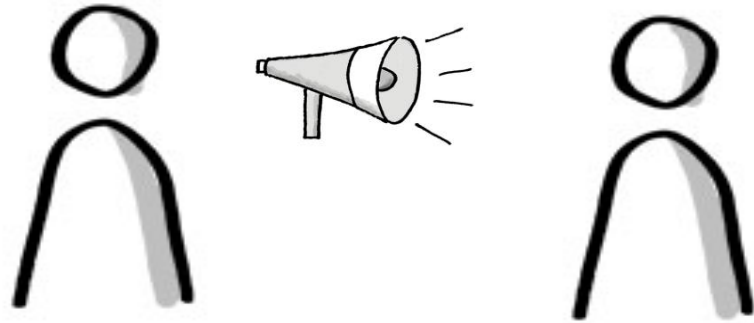
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- **Acceptance:** DoI by which a person expresses his or her agreement with an offer
- Acceptance must “**mirror**” the offer (→ *essentialia negotii*)
 - Amending offer by the acceptance during negotiation?
 - = Refusal of the original offer combined with a new offer (counter-offer), § 150 II BGB
 - New offer can be accepted by the other party

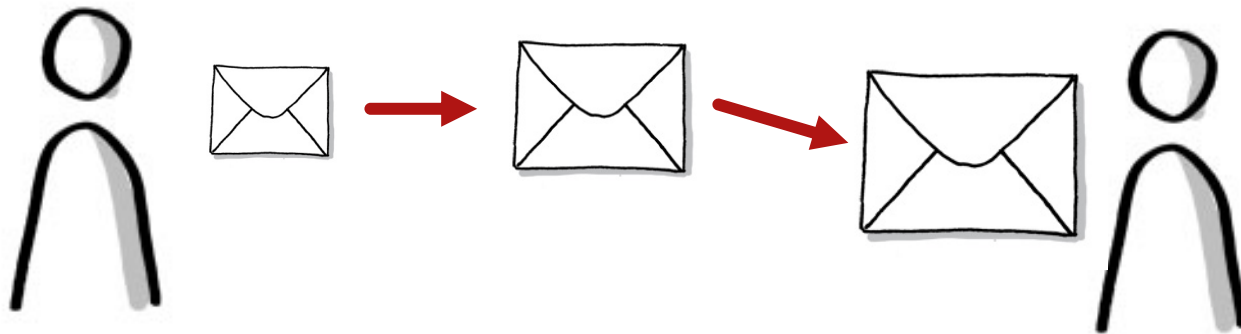


Contracts – Acceptance

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Offer to someone
who is present



Offer to someone
who is not present

§ 147 BGB

(1) An offer made to a person who is present may only be accepted immediately. This also applies to an offer made by one person to another using a telephone or another technical facility.

(2) An offer made to a person who is absent may be accepted only until the time when the offeror may expect to receive the answer under ordinary circumstances.

Contracts – DoI – Interpretation

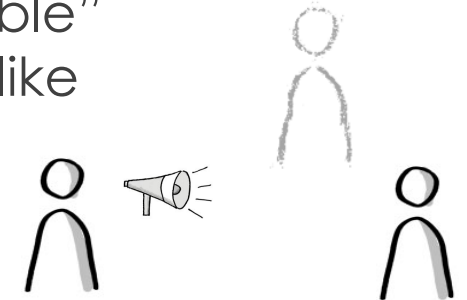
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- Necessary, if
 - Ambiguous wording
 - Different understandings (customs, industries, subcultures)
- In case facts regularly highlighted with „quotation marks“
- What is relevant?
 1. Wording
 2. Intention of parties?

Contracts – Dol – Interpretation

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- §§ 133, 157 BGB orders to find the intention behind the Dol
 - Actual will of the declaring party + how did the other party understand it
 - **Objective horizon of the recipient of the Dol:** Declaration is to be understood like it would have been understood by a third, “reasonable” person (innocent bystander) taking into account all circumstances (like customs) at the time of making the declaration (start: wording)
- Importance of parties’ will: **falsa demonstratio non nocet**



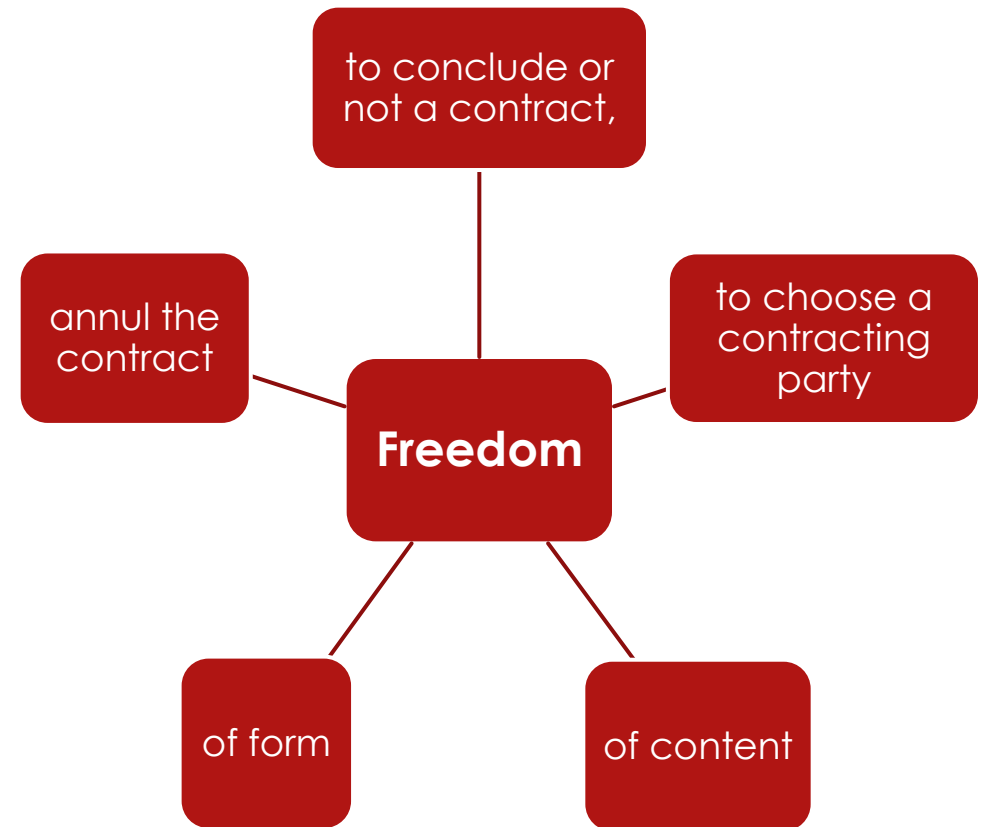
Contracts – DoI – Formal requirements

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- Generally, **no formal requirements** (private autonomy)
- Special formal requirements for selected legal transactions, e.g.
 - Text form: § 126b BGB
 - Written form: § 126 BGB
 - E.g. § 766 BGB (Bürgschaft – guarantee)
 - Electronical form: § 126a BGB
 - Qualified electronic signature
 - Notarial recording § 128 BGB
 - E.g. transfer of real estate or GmbH company shares
 - ▶ Notary draws up the contract,
 - ▶ Reads it out to the parties,
 - ▶ Parties approve and sign by hand in the presence of the notary

Warning function
Evidential function
Information function
Advisory function

- **Private autonomy as underlying principle**
 - = parties to a contract can freely decide whether and with whom a contract is to be concluded
 - General freedom of action (Art. 2 I GG) also protects private autonomy
 - You have to watch out to protect your own interest
 - corresponds with respective responsibilities
 - Interaction as equals (no subordination)
 - Problem: power discrepancies, e.g. tenant/landlord, B2C



Contracts – Private autonomy – Limits

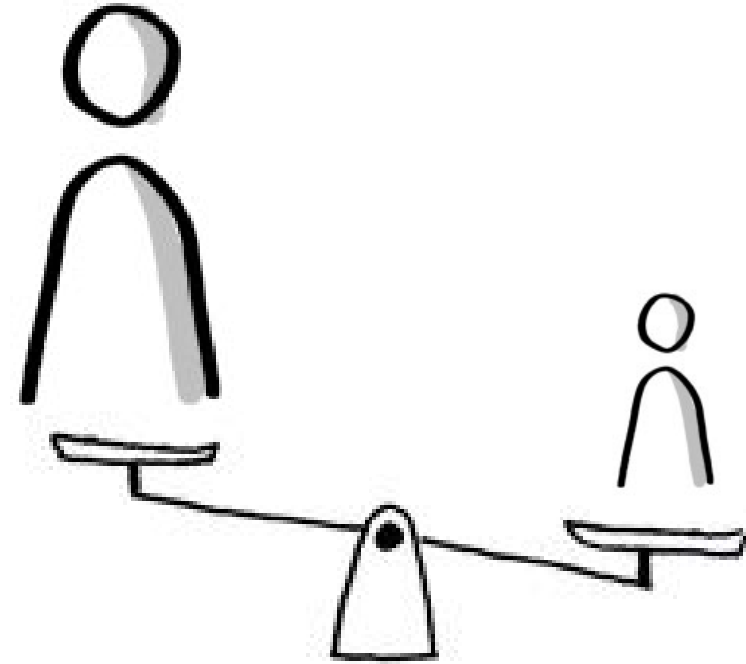
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No imbalance of power

-

No limitation



Structural or situational imbalance of power

-

Limitations

-

e.g. B2C

Contracts – Private autonomy – Limits

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- Contracts may be freely concluded as long as they do not violate mandatory provisions, legal prohibitions or morals
- Overview of limits:
 - ▶ § 134 BGB breach of statutory prohibition
 - ▶ § 138 II BGB (usury)
 - ▶ § 138 I (transactions contrary to public policy)
 - ▶ Scrutiny of standard business terms §§ 305 BGB ff.
 - ▶ No exclusion of liability for intent (§ 276 III BGB)
 - ▶ Restricted limitation of the warranty rights of the buyer in the B2C area
- Many mandatory rules limit private autonomy

§ 134 BGB - Breach of Statutory Prohibition

A legal transaction that violates a legal prohibition is null and void, unless the law provides otherwise.

- § 134 BGB "enables" non-civil law prohibition norms (criminal liability, administrative offences etc.)
- Unity of legal order
- **Examples:**
 - Breach of an export ban,
 - Invalidity of cartel agreements (Art. 101 II TFEU in the case of a breach of the European ban on cartels),
 - Trade with human organs (§§ 17, 1 TPG icw § 134 BGB)
 - Violation of the Illegal Employment Act

§ 138 BGB

A legal transaction which is contrary to public policy is void

§ 138 I BGB

Transaction contrary to public policy

§ 138 II BGB (Usury)

Strong disparity between performance and consideration (100%) and exploitation of situation

- Influence of morals/ethics on law
- Relevant in case of extensive restriction of economic freedom of contracting party
 - Overcollateralization
 - Guarantee of young, economically inexperienced descendants or employees
- § 134 BGB vs. § 138 BGB?

Contracts – Overview on different contracts

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Contract	Description	Provisions
Purchase agreement (goods)	Seller: Transfer of the defect-free purchased item, procurement of ownership. Buyer: Payment of the purchase price, acceptance of the purchased item.	§§ 433 - 479 BGB
The purchase agreement with the obligation to assemble	The purchase agreement with the obligation to assemble as a sub-case of the purchase agreement on goods is only expressly mentioned in the law with regard to the defectiveness of the assembly. It is nevertheless important to know it, as it represents an important transition between the purchase contract and the contract for work.	§§ 433 ff. BGB esp. § 434 II BGB
Purchase agreement (rights)	Application of the rules for purchase agreements (goods)	§§ 453 BGB
Consumer Goods Purchase	The purchase of consumer goods is a special case of the sales contract, so that the same main obligations apply for the parties involved, whereby the protective provisions of §§ 475 - 479 BGB must be taken into consideration.	§§ 474 - 479 BGB

Contracts – Overview on different contracts

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Contract	Description	Provisions
Loan agreement	Lender: Transfer of money. Borrower: repayment obligation, interest payment (if not interest-free). → Consumer loan agreements (special rules)	§§ 488 – 490 BGB
Rental agreement	Landlord: Transfer of the rental object for use during the rental period, transfer in a condition suitable for use in accordance with the contract. Maintenance of this condition during the rental period. (Special regulations apply, in particular the residential rental agreement (§§ 549 - 555 BGB)) Tenant: Payment of the agreed rent, return of the rental object at the end of the rental period.	§§ 535 – 580 BGB
Service agreement	Service provider: Performance of the promised services (<u>without</u> guarantee of success, correct view is that suitability for success is required) Entitled party: granting of the agreed remuneration. The most important special form of a service agreement is the employment contract (cf. § 611a BGB).	§§ 611 – 630 BGB

Contracts – Overview on different contracts

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Contract	Description	Provisions
Works contract	Entrepreneur: Production of the promised work (<u>with</u> guarantee of success). Customer: Payment of the agreed remuneration.	§§ 631 – 649 BGB
Works contract including delivery	Subject matter is the delivery of (movable) goods to be manufactured or produced -> application of sales law; especially in the case of movable goods.	§ 650 BGB
Construction contract	Special form of contract for work, newly regulated above all with regard to changes in performance at the request of the client and with regard to acceptance as essentially in accordance with the contract (special case of this is the developer contract, § 650u, v BGB)). Other special forms are the consumer construction contract according to §§ 650i ff. BGB and the architects' contract or the engineering contract with regard to construction work (§§ 650p ff. BGB).	§§ 650a ff. BGB

Revision Questions

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What is a declaration of intent?

Explain the legally binding effect of an Dol. How does the Common Law regulate this aspect?

If a person makes an offer and the other side answers by amending this offer, what is the legal situation?

Explain the principle of private autonomy.